# Thangamayil Jewellery Ltd

Concall-tracker report · Q1 FY27 (Apr-Jun 2026) · **NO-CONCALL PATH · web deep-dive** · builds on the Q4-2026 report

**No concall transcripts were available on Screener, so this report is based on a global web deep-dive.** Thangamayil doesn't hold quarterly analyst calls. Everything below comes from the Q1 FY27 result filing (board meeting 29 Jul 2026), company store announcements and market coverage published up to 30 Sep 2026.

## 1. Snapshot

**Thangamayil Jewellery** is a Madurai-based gold, silver and diamond jewellery retailer with about 66 showrooms, all in Tamil Nadu, and now pushing hard into Chennai. It earns a markup on gold it buys and turns into ornaments. Sales are almost entirely domestic.

| Figure | Value | Plain read |
|---|---|---|
| Market value | about Rs 20,100 cr | What the stock market values the whole company at after the late-July fall. |
| Q1 FY27 sales | Rs 2,666 cr | Up 71% on last year's June quarter, but about 6% lower than the March quarter. |
| Q1 FY27 net profit | Rs 85 cr | Up 86% on last year, but about 40% below the record Rs 143 cr March quarter. |
| Operating profit (EBITDA) | Rs 145 cr, margin about 5.4-5.8% | Margin about flat on last year but well down from about 7.5% in the March quarter. |
| Gross margin on retail sales | 9.8% | Down 1.3 points on last year. The jeweller kept less of each rupee of sales. |
| Same-store sales growth | 44% | Old shops still sold far more than a year ago (mostly the gold price), but slower than the 72% pace of Q4. |

## 2. Coverage: sources used

| Period / source | What it gave | Status |
|---|---|---|
| FY24 → Q4 FY26 (annual reports, result filings, news) | Store rollout, Chennai entry, FY26 guidance beat | Carried forward from Q4-2026 report |
| Q1 FY27 result filing & management release (29 Jul 2026) | Quarter numbers, same-store sales, reasons for weak gold volumes, Q2 commentary | Newly read in full ★ |
| Store announcements (7 Jun, 5 Aug 2026) | Four new Chennai stores | Newly read ★ |
| Business Today, Kotak Neo, Angel One, Cofacto, Kalkine (Jul-Aug 2026) | Stock reaction, gross margin, inventory gain from duty hike | Newly read ★ |

Only the June-quarter material was read in full this time. The longer backstory comes from the Q4-2026 report.

### ★ Latest update highlights · Q1 FY27 (results 29 Jul 2026)

- **Strong on the year, weak on the quarter.** Sales up 71% and profit up 86% against June 2025, but both fell from the March quarter. Read: the gold-price boom is still in the year-on-year numbers, the momentum isn't.
- **Gold volumes fell about 11% from Q4** (still up about 9% on last year). Management blamed the import-duty jump on gold from 6% to 15% on 13 May 2026, a weaker rupee that made buyers wait, the West Asia conflict and lower money sent home by Gulf workers.
- **Profit got a one-off lift.** The duty hike raised the value of gold already in stock, worth roughly Rs 60 cr by one analyst estimate. Read: underlying earnings were weaker than the Rs 85 cr headline.

- **Cautious on Q2.** Management said there was no visible pickup in the first 28 days of the September quarter and expects demand to come back in the second half of FY27. The stock hit its lower circuit two days running and fell about 27% in three days.
- **Expansion kept going.** Two Chennai stores opened on 7 Jun (Neelankarai, Pallavaram) and two more on 23 Aug (Mogappair West, Purasaiwakkam). Non-gold items rose to about 9.7% of retail sales from 8.6%.

**Business mix & capacity.** Domestic about 100%, no export business, so every shop is in one state. A retailer's "capacity" is its store space: about 66 outlets, with the Phase-II plan of about 9 more Chennai stores by Dec 2026. Four of those opened by August, so the rollout is roughly on schedule. Utilisation in the usual factory sense doesn't apply.

### ★ Since our last report

Builds on the Q4-2026 report (FY26 annual results, Jun 2026). Prior verdicts: trigger **YES**, consistency **YES**.

| Prior read | What we said then | What Q1 FY27 shows | Movement |
|---|---|---|---|
| Trigger: Chennai store rollout + same-store sales | Real, funded, visibly playing out; gold price flatters it | Stores keep opening; same-store growth slowed and gold volumes fell on duty and rupee | Slipping |
| Consistency | Beat its own raised FY26 target | Rollout on track; management openly flagged a soft Q2 rather than dressing it up | On-track |
| Promise: Phase-II ~9 Chennai outlets by Dec 2026 | Too early | Four opened Jun-Aug 2026 | On-track |
| Risk: gold-price windfall can reverse | Flagged as not durable | Duty and rupee moves hit volumes; part of Q1 profit is again a stock-revaluation gain | Confirmed |

**Verdict change:** trigger downgraded from YES to MAYBE because the same gold-price forces that inflated FY26 are now holding buyers back, and the company itself sees no pickup until the second half. Consistency unchanged at YES.

## 3. Earning-trigger thesis

### ★ The trigger: more stores in Chennai on top of rising sales per shop

The driver hasn't changed. Thangamayil is filling Chennai with new showrooms, a much bigger market than its southern Tamil Nadu base, and it's doing so on bank funding already sanctioned. What changed this quarter is demand. The import-duty jump and a weak rupee pushed gold prices up in rupee terms and buyers simply waited. So the stores are coming, but each one is selling less gold than it did in the March quarter, and margins are thinner. Until gold demand settles, the new shops add cost faster than they add profit.

| Trigger | What management said | Evidence so far | Time horizon | Strength | Change since last report |
|---|---|---|---|---|---|
| Chennai store rollout | ~9 more Chennai outlets in FY27, funded | 4 opened Jun-Aug 2026 | FY27-FY28 | Moderate: on time, but new stores open into weak demand | unchanged |
| Same-store sales growth | Deeper reach, more diamond/silver | 44% in Q1 vs 72% in Q4; non-gold share up | Ongoing | Moderate: mostly price, volume fell on the quarter | ↓ slowing as volumes dipped |

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| Gold price / duty effects | Not a strategy; blamed for weak Q1 volumes | One-off inventory gain lifted Q1 profit | Unpredictable | Weak: cuts both ways | ↓ now hurting demand |

## 4. Management consistency scorecard

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| FY26 | Revenue Rs 7,000 cr, raised to Rs 7,500 cr | Rs 8,499 cr, helped by gold prices | Delivered |
| FY26 | Enter Chennai, expand stores | 10 stores added, Chennai ~20% of sales | Delivered |
| FY27 Phase-II | ~9 Chennai outlets by Dec 2026 | 4 opened by Aug 2026 | Partly (on track) |
| Margins | Scale and non-gold mix to lift margin | Q1 margin back down from Q4; gross margin down on the year | Partly |

**Narrative drift:** very little. The story is still stores plus same-store sales. The tone shifted from confident to careful, and management was upfront that July showed no pickup. That's honest, though it also means no fresh full-year target was given. There are still no concalls to cross-check what they say quarter to quarter.

## 5. Bottom line: two verdicts

**Durable earning trigger? → MAYBE** vs last quarter: downgraded
The store rollout is real and on schedule, but this quarter showed how much of FY26's jump rode gold prices. With volumes down on the quarter, a margin squeeze and management expecting no recovery before the second half, the driver is now partly stalled. It could swing back to YES once the new Chennai stores show they can grow volume, not just price.

**Management consistent? → YES** vs last quarter: unchanged
Nothing moved this. They're opening the stores they said they would, on the timeline they gave, and they told the market plainly that Q2 started slow. The thin public record, with no calls to quiz them on, keeps this a cautious YES.

Sources: Thangamayil Q1 FY27 result filing (29 Jul 2026); store announcements (7 Jun, 5 Aug 2026); Business Today (29 & 31 Jul 2026); Kotak Neo; Angel One; Cofacto; Kalkine. Information capped at 30 Sep 2026. This is not investment advice. Do your own due diligence.